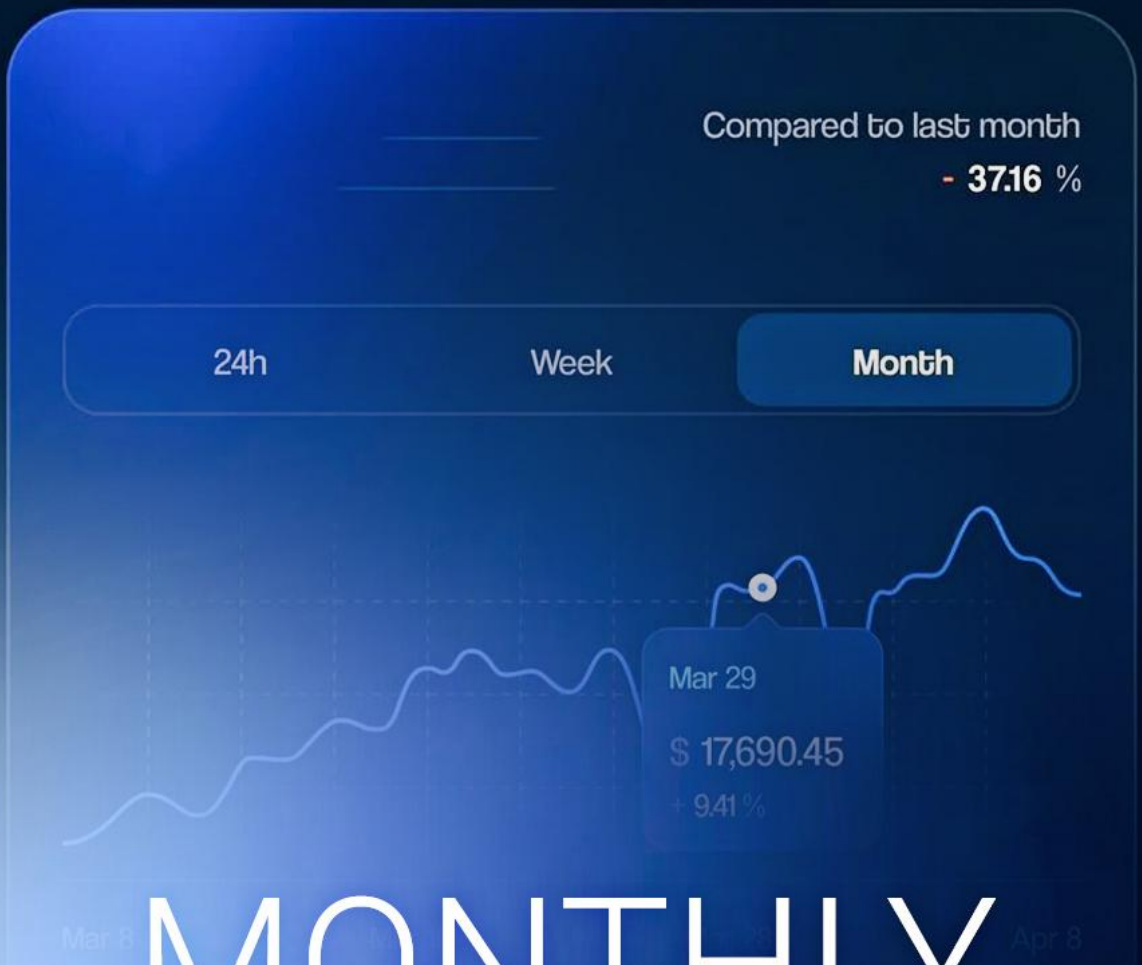
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AIB-AXYS March 2026 Stock Recommendations

February 2026 Highlights

- **Safaricom Interim Dividend - Safaricom declared an interim dividend of KES 0.85 per share** (an increase from KES 0.65). The dividend will be payable to shareholders who were on the register on 25th February 2026 and will be paid on or about 31st March 2026.
- **Standard Group suspends rights issue – The Group's Board of Directors resolved to suspend the previously proposed rights issue.** According to the company's release, plans for a rights issue were shelved to allow the Company additional time to reassess the structure, timing, and viability of the proposed transaction, taking into account evolving market and operational considerations.
- **Nedbank received a CMA exemption from having to make a mandatory takeover offer to NCBA shareholders –** Additionally, Nedbank noted that it had secured additional irrevocable undertakings to 77.54% from 71.2% of the total number of NCBA shares, which now guarantees at least 51.2% ownership of NCBA.
- **Profit Warnings – CIC Insurance Company and Limuru Tea issued profit warnings.** CIC Insurance released a profit warning on 23rd February, expecting net earnings to come at least 25.0% lower compared to FY'24. The underwriter cited: i) the non-recurrence of a significant one-off gain recognized in FY'2024. In 2024, financials were lifted by a one-off gain fair value gain of approximately KES 1.0 Bn related from revaluation of its Kiambu property, and ii) the underwriter noted elevated claims during the period; *(a wide spread scenario in the insurance business; given the damage caused by recent flooding cases in the country, we anticipate claims will remain elevated in the industry, which could challenge earnings in the near term.)*
- Limuru Tea released a profit warning, expecting net earnings to drop by more than 25.0%; the company cited i) rising labour costs as a result of higher wages, and ii) adverse market conditions, as global demand declines, contrasting with increased output in the local market.
- **British American Tobacco (BAT) FY2025 Performance & Final Dividend - British American Tobacco Kenya posted 17.0% y/y growth in net earnings, coming in at KES 5.25 Bn from KES 4.48 Bn.** This performance was chiefly buoyed by a 14.6% decline in total cost of operations to KES 15.72 Bn from KES 18.40 Bn. Notably, revenues declined to KES 35.95 Bn from KES 41.08 Bn. Management attributed the decline to the heightened proliferation of illicit cigarettes, which dampened the domestic market. The Board of Directors recommended a final dividend of KES 60.00 per share, eligible to investors on record at the close of business on 8th May 2026, to be paid on or about 12th June 2026.
- One of the main catalysts for growth remains modern oral nicotine pouches. We share the same level of confidence with the management that, in the near term, this product will grow its contribution to the topline now that the regulatory framework is clear. Management envisages that, in the medium term, the product will contribute close to 15.0%-25.0% of revenues, aligning with the BAT Group's vision of increasing revenue from non-combustible products to 50.0% by 2035.
- **What awaits in March -** We are expecting an avalanche of corporate actions in March as corporates release their full-year earnings. We shall keep an eye on the banking sector and update our models. In addition, it shall be interesting to track KPC's performance as it debuts in the market.

Table 1: Summary of Latest Net Earnings Results

	Company	Comment
1.	**ABSA Bank**	FY2025 posted a 9.7% y/y rise in PAT to KES 22.91Bn, supported by sharply lower impairments, disciplined cost management and continued growth in non-funded income streams. NII softened amid margin normalization and lower lending yields, though stronger fee-based income and improved funding costs helped cushion revenue performance. Asset quality improved with the NPL ratio easing to 11.5%, while a resilient deposit base and strong capital position supported balance sheet stability and sustained earnings resilience.
2.	**Co-operative Bank**	Q3'25 posted a 12.3% y/y rise in net earnings to KES 21.56Bn, supported by strong NII growth (+22.8% y/y) driven by an expanding loan book and lower interest expenses. Provisions eased 31.9% y/y, lifting profitability, while the bank declared its first-ever interim dividend of KES 1.0, signaling strengthened shareholder value creation.
3.	**Diamond Trust Bank**	Q3'25 posted a 12.3% y/y rise in PAT to KES 8.36Bn, supported by strong NII growth (+17.9% y/y) and a 7.8% expansion in the loan book. Non-funded income fell 5.9% y/y on softer FX and lower fees, though transactional flows remained resilient. Operating income rose 10.5% y/y, with cost discipline maintained despite higher provisions as NPLs edged up. A solid funding base, reflected in 15.5% y/y growth in deposits, and strengthened capital buffers underpinned balance sheet resilience.
4.	**E.A Breweries Limited**	Net earnings rose 38.0% y/y to KES 11.20 Bn, driven by 11.0% revenue growth and 8.0% volume expansion, supported by favourable excise adjustments and cost efficiencies. Strong regional performance, particularly Tanzania and Uganda, underpinned earnings. The Board declared an interim dividend of KES 4.00 per share.
5.	**E.A Portland Cement**	Net earnings improved to a profit of KES 35.1Mn from a loss of KES 720.7Mn. This return to profitability was anchored on improving sales volume driven by strategic pricing. Additionally, improved plant utilization helped minimize operational costs, improving retained earnings in the period.
6.	**Equity Group**	Q3'25 posted a 32.2% y/y rise in PAT to KES 54.1Bn, driven by a 16.1% increase in net interest income and sustained cost discipline. This offset modest growth in non-interest income (+2.5%), delivering strong operating leverage. Regional subsidiaries remained key profit drivers, contributing over 40% of Group PAT, with continued momentum in DRC, Uganda, and Tanzania. Loans expanded 7.5% y/y versus deposits up 2.2%, pushing the loan-to-deposit ratio to 63.9%, reflecting a more active lending stance and reinforcing the Group's balance sheet resilience and profitability.
7.	**I&M Group**	Q3'25 results reflected solid balance sheet growth, resilient earnings, and strengthened capital and liquidity buffers. Loan book expansion and steady deposit growth supported funding stability, while asset quality remained stable with improved provision coverage. Earnings momentum was reinforced by diversified income streams and continued positive contribution from regional subsidiaries
8.	**Kapchorua Tea**	Net earnings plunged by 54.6% y/y to KES 181.18Mn from KES 399.36Mn. The decline was driven by persistent oversupply in the global tea market, which continued to suppress demand and prices.
9.	**KCB Group**	PAT in Q3'2025 rose 3.4% y/y to KES 47.32Bn, supported by 12.4% growth in NII as funding costs eased. The loan book expanded 8.2% y/y, while non-funded income remained soft on weaker FX trading. NPLs rose to KES 222.07Bn, though stronger provisioning improved coverage. Overall performance was anchored by subsidiary resilience and a gradually recovering credit environment.
10.	**KPLC**	KPLC maintained its recovery into FY'25/26, supported by higher electricity sales and improved operational efficiency. For the half-year ended December 2025, the company posted profit before tax of KES 14.83 Bn with revenue up 6.9% y/y to KES 114.90 Bn, driven by 10.5% growth in unit sales. Lower finance costs (-25.0%) following reduced borrowings supported earnings, while the Board declared an interim dividend of KES 0.30 per share, a 50.0% increase,

Table 1: Summary of Latest Net Earnings Results

	Company	Comment
11.	**NCBA Group**	Net earnings grew 8.5% y/y to KES 16.38Bn in Q3'25, supported by strong NII growth (+27.4% y/y) as funding costs fell sharply in a softer rate environment. Loan and deposit contraction weighed on interest income, but asset quality improved, with gross NPLs down 6.0% y/y. Non-funded income was broadly stable, supported by solid digital lending fees despite weaker FX trading.
12.	**Safaricom**	Safaricom Group delivered a solid HY26 performance, with net income surging 52.1% y/y to KES 42.80Bn, driven by a 11.1% rise in service revenue to KES 199.92Bn and robust EBITDA growth of 34.9% to KES 101.31Bn. EBIT rose 54.5% to KES 65.22Bn, reflecting improved efficiency and cost optimization, while the customer base expanded 19.7% to 63.20Mn. Despite higher Capex (+72.1%), the Group maintained healthy liquidity and operational momentum, underscoring strong execution across key business segments
13.	**Stanbic Bank**	H1'25 Net earnings plunged by 9.2% y/y to KES 6.54 Bn weighed down by a 5.8% drop in net interest income to KES 11.83Bn as loans and advances contracted 14.6% y/y. Margins were, however, supported by a modest 0.9% growth in non-funded income to KES 7.62Bn. Notably, total operating expenses surged by 15.4%y/y gnawing into the margins. The Board of Directors recommended an interim dividend of KES 3.80 per share.
14.	**Standard Chartered Bank Kenya**	Q3'25 PAT fell 38.2% y/y to KES 9.79Bn, driven by softer revenues and a one-off KES 2.7Bn staff cost charge following a Supreme Court ruling. Core banking activity slowed amid weaker loan demand and reduced transaction volumes, while non-funded income was hit by a sharp drop in FX trading due to a stable shilling. On the positive side, asset quality improved, with gross NPLs easing to KES 9.13Bn and provisions declining.
15.	**Williamson Tea**	Net earnings declined to a loss of KES 166.44Mn from a profit of KES 529.95Mn. The business recorded a KES 392.22Mn loss from operations before tax which we believe was underpinned by oversupply in the global tea market, which pressured prices and demand.
16.	**Liberty Kenya Holdings**	H1'25 net earnings fell 58.9% y/y to KES 260Mn, down from KES 632Mn in H1'24, weighed by a weaker insurance service result (KES 225Mn vs. KES 577Mn) and higher net insurance finance expenses (-11.8% y/y to KES 1.25Bn). Investment income rose modestly 4.6% y/y to KES 2.08Bn, but was insufficient to offset muted insurance operations. EPS declined to KES 0.43 from 1.16, reflecting sustained earnings pressure.
17.	**CIC Insurance**	Net earnings declined 10.1% y/y to KES 638.5Mn, from KES 710.0Mn in H1'24. Performance was weighed down by weaker insurance service result, which dropped to KES 128.2Mn from KES 1.05Bn, reflecting higher service expenses. However, revenue momentum was partly supported by a 53.7% y/y rise in investment return to KES 2.75Bn, cushioning the bottom line. EPS stood at KES 0.23 from 0.30 in H1'24.
18.	**Jubilee Insurance**	H1'25 net profit rose 21.7% y/y to KES 3.06Bn, supported by stronger insurance finance income (+76.1% y/y) and a 15.0% y/y uplift in the insurance services result. While other income dipped 35.3% y/y, overall profitability remained firm, aided by disciplined cost management. EPS improved 20.3% y/y to KES 41.63, highlighting sustained earnings resilience and operational strength.

February 2026 Equities Market Highlights

- In February, the market carried on the bullish momentum showcased in January. The **Nairobi All Share Index advanced by 10.6% m/m**, while the NSE-10 Index and NSE 25 rose by 10.8% and 13.7%, respectively, on a monthly basis.

- **Turnover remained robust. In February, trading activities rose by 88.8% on a monthly basis to KES 24.28 Bn from KES 12.86 Bn recorded in January. Additionally, this was a 184.7% jump on a yearly basis compared to KES 8.53 Bn recorded in February 2025.** We expect sustained activity in the market as investors continue to take positions for capital gains and dividend propositions as the corporate earnings season draws close.

Table 2: Equity Market Statistics

Statistic	28-Feb-2026	30-Jan-2026	28-Feb-2025	M/M Change	Y/Y Change
Equity Turnover (KES Mn)	24,280.29	12,859.68	8,528.71	▲ 88.8%	▲ 184.7%
Market Cap (KES Bn)	3,410.07	3,083.07	2,076.83	▲ 10.6%	▲ 64.2%
NSE All Share Index (RHS)	216.08	195.36	132.13	▲ 10.6%	▲ 63.5%
NSE 10 Index	2,268.39	2,046.82	1,366.92	▲ 10.8%	▲ 65.9%
NSE 20 Index	3,750.45	3,299.28	2,300.17	▲ 13.7%	▲ 63.1%
NSE 25 Index	5,948.29	5,321.96	3,595.08	▲ 11.8%	▲ 65.5%
Foreign buys	5646.84	4201.24	2568.06	▲ 34.4%	▲ 119.9%
Foreign sales	9068.51	5285.46	3851.67	▲ 71.6%	▲ 135.4%
Net F. Flows	(3421.67)	(1084.22)	(1283.61)	▲ 415.6%	▲ 366.6%
Total Volume Traded (Mn)	820.19	410.21	470.69	▲ 99.9%	▲ 74.3%

Source: NSE, AIB-AXYS Africa Research

- ***Uchumi Supermarket*** was the top gainer in February 2026 clocking a 184.5% m/m valuation gain to KES 2.93. ***Flame Tree Group Holdings*** was the second largest gainer rising 80.3% m/m to KES 2.83. ***Kenya Airways Ltd*** advanced 58.6% m/m to KES 5.60. ***Sasini PLC*** was fourth, climbing 57.7% m/m to KES 28.15 and ***Eaagads Ltd*** was fifth gaining 48.6% m/m to KES 30.10.

- ***Eveready East Africa*** was the top capital loser slipping 17.5% m/m to KES 1.13, ***Olympia Capital Holdings*** was second shedding 5.4% m/m to KES 7.78 while ***Williamson Tea Kenya*** was third trimming 4.3% m/m to KES 143.00. ***WPP Scangroup*** was fourth trimming 2.7% to KES 2.48 while ***East African Breweries*** was fifth trimming 1.3% m/m to KES 259.50.

Table 3: Top Gainers and Losers February 2026

Top Gainers 2026	Closing Price		% Change
Uchumi Supermarket	KES	2.93	▲ 184.5%
Flame Tree Group Holdings	KES	2.83	▲ 80.3%
Kenya Airways Ltd	KES	5.60	▲ 58.6%
Sasini Plc	KES	28.15	▲ 57.7%
Eaagads Ltd	KES	30.10	▲ 48.6%
Britam Holdings	KES	12.95	▲ 42.3%
Sameer Africa	KES	19.80	▲ 38.9%
Africa Mega Agricorp	KES	97.75	▲ 38.7%
Car & General	KES	70.00	▲ 37.3%
Kenya Power & Lighting Co	KES	18.50	▲ 36.0%

Top Losers 2026	Closing Price		% Change
Eveready East Africa	KES	1.13	▼ (17.5%)
Olympia Capital Holdings	KES	7.78	▼ (5.4%)
Williamson Tea Kenya	KES	143.00	▼ (4.3%)
WPP Scangroup	KES	2.48	▼ (2.7%)
East African Breweries	KES	259.50	▼ (1.3%)
Liberty Kenya Holdings	KES	10.00	▼ (1.0%)

Equity Group Holdings recorded the highest turnover in February 2026, with aggregate turnover clocking KES 4,910.8 Mn. ***Safaricom Plc*** was second, with turnover amounting to KES 4,587.3 Mn. ***KCB Group*** came in third, with total turnover clocking KES 3,067.3 Mn.

Foreigners accounted for the larger share of trading activity in ***Stanbic Holdings, Safaricom PLC, East African Breweries, British American Tobacco Kenya, and ABSA Bank Kenya.***

Table 4: Top Movers February 2026

Top Movers 2026	Turnover (KES Mn)	Turnover (USD Mn)	Foreigners' Participation	Closing Price	% Change (YTD)
Equity Group Holdings	KES 4,910.8	$38.01	36.5%	KES 77.25	▲ 15.7%
Safaricom Plc	KES 4,587.3	$35.51	45.7%	KES 32.00	▲ 12.9%
KCB Group	KES 3,067.3	$23.74	22.2%	KES 80.25	▲ 22.1%
Stanbic Holdings	KES 1,989.0	$15.39	68.5%	KES 256.50	▲ 29.7%
Co-operative Bank of Kenya	KES 1,224.4	$9.48	3.1%	KES 29.20	▲ 21.9%
I&M Holdings	KES 1,146.2	$8.87	3.0%	KES 51.00	▲ 20.1%
East African Breweries	KES 1,035.3	$8.01	39.6%	KES 259.50	▼ (1.3%)
NCBA Group	KES 984.8	$7.62	3.8%	KES 92.50	▲ 10.1%
Absa Bank Kenya	KES 781.9	$6.05	26.4%	KES 32.20	▲ 30.4%
Kenya Airways Ltd	KES 611.0	$4.73	0.0%	KES 5.60	▲ 58.6%
KenGen Co.	KES 585.0	$4.53	8.9%	KES 9.64	▲ 5.0%
Kenya Power & Lighting Co	KES 569.9	$4.41	6.9%	KES 18.50	▲ 36.0%
Diamond Trust Bank	KES 387.1	$3.00	18.1%	KES 154.75	▲ 35.2%
British American Tobacco Kenya	KES 362.3	$2.80	37.2%	KES 567.00	▲ 23.5%
Standard Chartered Bank	KES 328.7	$2.54	8.8%	KES 362.25	▲ 21.9%

Source: NSE, AIB-AXYS Africa Research

AIB-AXYS March 2026 Stock Recommendations

AIB-AXYS Africa Equities Coverage Universe

Stock	Strengths	Risks	Recommendation
ABSA Bank Kenya Current Price: KES 30.35 Target Price: KES 31.39 Upside: 3.4%	• Absa delivered 9.7% y/y growth in PAT to KES 22.91Bn, primarily driven by a 31.8% decline in loan loss provisions, highlighting improving credit performance and disciplined risk management.	• Net interest income declined 6.4% y/y to KES 43.29Bn, reflecting moderating lending yields and margin normalization amid easing interest rates.	*HOLD*
Co-operative Bank Current Price: KES 29.80 Target Price: KES 25.79 Downside: 13.5%	• A diversified, retail-heavy lending model underpins stable deposit growth and provides a relatively low and stable cost of funds. • Subsidiaries remain key earnings drivers, with Bancassurance PBT rising 39.7% y/y to KES 1.15 Bn, while the South Sudan subsidiary returned to profitability, offering incremental earnings support beyond the core banking business.	• A stable Kenya shilling continues to compress foreign exchange trading margins, increasing reliance on loan growth and fee-based income to sustain revenue momentum.	*SELL*
Equity Group Current Price: KES 74.00 Target Price: KES 76.56 Upside: 3.5%	• A NIM of 7.4%, alongside stable operating expenses, reflects efficient balance sheet deployment and disciplined execution. • Continued investment in digital platforms and technology-driven processes has strengthened productivity, lowering the cost-to-income ratio to 50.6% (ex-provisions) and reinforcing a scalable, low-cost operating model.	• As interest rates moderate and funding costs stabilize, net interest margins may normalize, increasing reliance on volume growth and non-interest income to sustain earnings momentum.	*HOLD*
Diamond Trust Bank (DTB-K) Current Price: KES 156.75 Target Price: KES 125.30 Downside: 20.1%	• Lower funding costs (interest expense -14.6% y/y) and controlled cost growth supported margin stability,	• Operating costs rose broadly in line with income, keeping the cost-to-income ratio elevated and limiting near-term operating leverage.	*SELL*
KCB Group Current Price: KES 78.00 Target Price: KES 72.87 Downside: 6.6%	• An 8.2% y/y expansion in the loan book and increased allocation to government securities reflect prudent liquidity management.	• Hyperinflation and economic instability in South Sudan and Burundi continue to weigh on subsidiary performance and earnings visibility.	*SELL*
Stanbic Kenya Current Price: KES 257.75 Target Price: KES 199.71 Downside: 22.5%	• The bank sustained solid operating efficiency with a cost-to-income ratio of 48.3%. • A progressive dividend policy	• Net loans fell to KES 308.73 Bn, signaling subdued credit uptake and a cautious lending stance that may limit near-term revenue growth.	*SELL*

AIB-AXYS Africa Equities Coverage Universe

Stock	Strengths	Risks	Recommendation
NCBA Group Current Price: KES 87.50 Target Price: KES 91.16 Upside: 4.2%	• Gross NPLs declined 6.0% y/y to KES 38.68 Bn, with the NPL ratio improving to 12.6% and coverage strengthening to 68.9%, signaling better credit outcomes and disciplined provisioning. • A progressive dividend policy	• Non-interest income declined 1.9% y/y, weighed down by weaker FX trading income amid a stable shilling, increasing reliance on funded income.	*HOLD*
Standard Chartered Bank Current Price: KES 335.25 Target Price: KES 266.04. Downside: 20.6%	• The bank increased allocation to government securities, providing stable returns and cushioning earnings amid subdued loan growth and declining interest rates. • Progressive and consistent divided policy • Growth in wealth and asset management income helped offset weakness in core banking revenues.	• Net interest income fell 10.3% y/y, while non-funded income declined 28.6% y/y, driven by lower transaction volumes and a sharp drop in FX trading income amid a stable Kenya shilling. • Contracting loan book, softer transaction services, and expected margin compression in 2026 point to lower near-term earnings.	*SELL*
EABL Group Current Price: KES 255.00 Target Price: KES 257.35 Upside: 0.9%	• Tanzania and Uganda continued to drive growth, cushioning softer demand in Kenya and reinforcing EABL's diversified East African footprint. • The declaration of an interim dividend of KES 4.00 per share underscores balance sheet strength and management's confidence in earnings sustainability.	• Illicit alcohol is increasingly tampering with the market, posing a challenge to revenues. • A slowdown in disposable income growth or shifts in consumer preferences could weigh on volumes, particularly in the mass beer segment.	*HOLD*
Safaricom Plc Current Price: KES 29.95 Target Price: KES 34.30 Upside: 14.5%	• Safaricom declared an interim dividend of KES 0.85 per share for the year ending 31 March 2026, reflecting resilient free cash flow and confidence in earnings stability. • Mobile data revenue overtook voice for the first time, and M-Pesa revenue continues to grow substantially.	• Safaricom's Ethiopian business still reports losses and faces currency, regulatory, and competitive headwind. • Lengthened break-even projections in the Ethiopia unit.	*BUY*

AIB-AXYS March 2026 Stock Recommendations

AIB-AXYS Africa Equities Coverage Universe

Stock	Strengths	Risks	Recommendation
Jubilee Holdings Current Price: KES 389.75 Target Price: KES 333.50 Downside: 14.4%	• Ongoing digital initiatives (including **J-Force** for intermediaries) are improving distribution efficiency, customer engagement, and sales conversion, supporting sustainable premium growth. • Progressive dividend policy. • A resilient asset management business.	• Returns are exposed to capital market volatility and interest rate movements, which can affect profitability. • Insurance earnings remain sensitive to claims experience and pricing discipline, which could pressure margins in adverse cycles.	*SELL*
I&M Group Current Price: 49.10 Target Price: 48.46 Downside: 1.3%	• Net interest income rose 21.3% y/y while non-interest income increased 17.0% y/y, reflecting successful execution of the Imara 3.0 strategy. • Gross NPLs declined 7.0% y/y, with the NPL ratio improving to 9.9%, while deposits grew 10.0% y/y, strengthening liquidity and funding resilience.	• Operating expenses increased 16.0% y/y due to investments in digital infrastructure and expansion, which could pressure efficiency if revenue growth moderates.	*HOLD*
Kapchorua Tea Current Price: KES 248.25 Target Price: KES 260.50 Upside: 4.9%	• Kapchorua Tea reported a significant rebound in net profit to KES 95.18 Mn from KES 18.23 Mn, driven by improved operations and fair value gains in biological assets. • Progressive dividend policy	• Tea exports are sensitive to global supply and demand pressures, which can compress realizations and margins. • Despite the profit turnaround, turnover declined year-on-year as tea prices and production fluctuate, which can impact top-line stability.	*HOLD*
CIC Insurance Current Price: KES 4.98 Target Price: KES 4.90 Downside: 1.6%	• CIC remains a major player in Kenya's insurance sector with diversified offerings across life, general insurance, and asset management. • The group benefits from income generated through its property and financial investments, supporting earnings during favorable market conditions.	• CIC expects net earnings to decline by at least 25.0%, reflecting weaker profitability compared to FY'2024. • Increased insurance claims, partly linked to recent flooding events, are expected to weigh on underwriting margins.	*SELL*
Williamson Tea Current Price: KES 140.00 Target Price: KES 159.00 Upside: 13.6%	• Half-year results to 30 Sep 2025 show a dramatic reduction in net loss (to KES 10.1 Mn), demonstrating improved cost discipline and operational control amid challenging conditions. • Progressive dividend policy	• Revenue remained under pressure with market conditions driving lower sales even as costs were controlled, reflecting ongoing demand and pricing challenges.	*BUY*

AIB-AXYS Africa Equities Coverage Universe

Stock	Strengths	Risks	Recommendation
Williamson Tea Current Price: KES 140.00 Target Price: KES 159.00 Upside: 13.6%	• Half-year results to 30 Sep 2025 show a dramatic reduction in net loss (to KES 10.1 Mn), demonstrating improved cost discipline and operational control amid challenging conditions. • Progressive dividend policy	• Revenue remained under pressure with market conditions driving lower sales even as costs were controlled, reflecting ongoing demand and pricing challenges.	*BUY*
KPLC Current Price: KES 17.00 Target Price: KES 17.27 Upside: 1.6%	• KPLC delivered robust H1 FY2025/26 performance, with profit before tax of KES 14.83 Bn and revenue up 6.9% y/y to KES 114.90 Bn, supported by higher electricity sales. • The Board declared an interim dividend of KES 0.30 per share, representing a 50.0% increase, signaling improved cash flow strength.	• Earnings remain sensitive to regulatory decisions on tariffs and cost pass-through mechanisms, which may lag cost movements and affect near-term profitability.	*HOLD*
Liberty Kenya Holdings Current Price: KES 10.05 Target Price: KES 10.85 Upside: 8.0%	• Progressive dividend policy. • Core business stability is expected to augment profitability. • The launch of a fully digital insurance solution is expected to improve its market positioning as well as enhance customer experience.	• The profit warning (Jan 2026) flags a decline in 2025 earnings, driven by surging medical claims, a structural, sector-wide challenge that continues to weigh on underwriting margins.	*BUY*
BAT Kenya Current Price: KES 541.00 Target Price: KES 609.41 Upside: 12.6%	• BAT delivered 17.0% y/y growth in net earnings to KES 5.25 Bn, supported by a 14.6% reduction in operating costs, highlighting strong cost discipline. • The Board recommended a final dividend of KES 60.00 per share, reinforcing BAT's reputation as one of the highest dividend-paying stocks on the NSE. • Expansion of modern oral nicotine pouches is expected to drive future growth.	• Revenues declined to KES 35.95 Bn as the proliferation of illicit cigarettes continues to erode domestic market volumes. • The tobacco sector remains exposed to tight regulation and taxation, which may constrain long-term demand growth.	*BUY*

AIB-AXYS March 2026 Stock Recommendations

AIB-AXYS Africa *Shari'ah Equities* Portfolio Recommendation

Stock	Strengths	Risks	Recommendation
Williamson Tea Current Price: KES 140.00 Target Price: KES 159.00 Upside: 13.6%	• Growing demand for diverse tea blends offer new growth frontiers. • Large disparity between prevailing market price and book value presents ample room for long-term price discovery. • Progressive dividend policy	• Escalation of geopolitical tensions risk disrupting key export market destinations. • Strengthening shilling presents downside risks for offshore sales.	*BUY*
Kapchorua Tea Current Price: KES 248.25 Target Price: KES 260.50 Upside: 4.9%	• Kapchorua Tea reported a significant rebound in net profit to KES 95.18 Mn from KES 18.23 Mn, driven by improved operations and fair value gains in biological assets. • Progressive dividend policy.	• Tea exports are sensitive to global supply and demand pressures, which can compress realizations and margins. • Despite the profit turnaround, turnover declined year-on-year as tea prices and production fluctuate, which can impact top-line stability.	*HOLD*
KenGen Plc Current Price: KES 9.28 Target Price: KES 11.40 Upside: 22.8%	• KenGen's generation mix is heavily weighted toward geothermal and other renewables, providing relatively low and stable generation costs. • Power Purchase Agreements with Kenya Power underpin predictable revenues, supporting earnings stability and long-term investment planning.	• Variability in rainfall affects hydro generation, which can pressure output and necessitate higher-cost thermal alternatives in dry periods.	*BUY*
KPLC Current Price: KES 17.00 Target Price: KES 17.27 Upside: 1.6%	• KPLC delivered robust H1 FY2025/26 performance, with profit before tax of KES 14.83 Bn and revenue up 6.9% y/y to KES 114.90 Bn, supported by higher electricity sales. • The Board declared an interim dividend of KES 0.30 per share, representing a 50.0% increase, signaling improved cash flow strength.	• Earnings remain sensitive to regulatory decisions on tariffs and cost pass-through mechanisms, which may lag cost movements and affect near-term profitability.	*HOLD*
Sasini Plc Current Price: KES 27.80 Target Price: KES 27.80 Upside: 0.0%	• Sasini benefits from multiple revenue streams including tea, coffee, macadamia, avocado, and dairy, reducing reliance on a single commodity and supporting earnings resilience.	• Earnings remain sensitive to fluctuations in global tea, coffee, and macadamia prices, which can affect revenue stability.	*SELL*

AIB-AXYS February 2026 Market Scorecard

MARKET SCORECARD	Current Price	Daily Change (%)	YTD change (%)	Volumes Traded	Book Value per Share	Market Cap (KES, Mn)	Market Weight (%)	Trailing EPS	Dividend Per Share	P/E Ratio	P/B Ratio	Dividend yield (%)	Payout Ratio (%)	ROE (%)	ROA (%)
		As of:	27/Feb/26												
AGRICULTURAL															
Eaagads Ltd	30.10	▼ (3.1%)	▲ 48.6%	3,052	40.23	967.9	0.03%	0.37	-	81.4x	0.7x	0.0%	0.0%	0.9%	0.8%
Kakuzi Plc	433.00	▼ (0.8%)	▲ 7.7%	443	279.19	8,486.8	0.25%	(9.37)	-	(46.2x)	1.6x	0.0%	0.0%	0.0%	0.0%
Kapchorua Tea Kenya Plc	255.50	▲ 2.6%	▲ 10.4%	3,167	255.42	1,999.0	0.06%	23.16	25.00	11.0x	1.0x	9.8%	107.9%	9.1%	6.7%
The Limuru Tea Co. Plc	511.00	▼ (7.1%)	▲ 11.1%	24	63.73	1,226.4	0.04%	(6.34)	-	(80.6x)	8.0x	0.0%	0.0%	0.0%	0.0%
Sasini Plc	28.15	▼ (0.9%)	▲ 57.7%	32,885	92.72	6,419.8	0.19%	(2.75)	-	(10.2x)	0.3x	0.0%	0.0%	0.0%	0.0%
Williamson Tea Kenya Plc	143.00	▼ (1.4%)	▼ (4.3%)	74,064	335.95	2,504.3	0.07%	(8.76)	10.00	(16.3x)	0.4x	7.0%	(114.2%)	0.0%	0.0%
Industry Median		**▼ (1.1%)**	**▲ 10.7%**			**21,604.2**	**0.63%**			**(13.3x)**	**0.9x**	**0.0%**	**0.0%**	**0.0%**	**0.0%**
AUTOMOBILES & ACCESSORIE															
Car & General (K) Ltd	70.00	▼ (1.8%)	▲ 37.3%	6,364	155.99	2,807.2	0.08%	(3.33)	0.30	(21.0x)	0.4x	0.4%	(9.0%)	0.0%	0.0%
BANKING															
ABSA Bank Kenya Plc	32.20	▲ 4.0%	▲ 30.4%	1,543,114	17.37	174,895.5	5.08%	4.80	1.75	6.7x	1.9x	5.4%	45.6%	27.6%	4.7%
BK Group Plc	45.10	▼ (0.9%)	▲ 6.1%	65,729	50.52	40,443.8	1.17%	8.25	2.64	5.5x	0.9x	5.9%	102.9%	16.3%	3.0%
Diamond Trust Bank Kenya Ltd	154.75	▼ (2.2%)	▲ 35.2%	79,286	355.68	43,268.4	1.26%	30.78	7.00	5.0x	0.4x	4.5%	25.6%	8.7%	1.3%
Equity Group Holdings Plc	77.25	▲ 1.0%	▲ 15.7%	2,978,280	80.35	291,516.4	8.47%	15.74	4.25	4.9x	1.0x	5.5%	34.4%	19.6%	3.3%
HF Group Plc	11.25	▲ 6.1%	▲ 13.0%	587,461	11.64	16,799.8	0.49%	0.90	-	12.5x	1.0x	0.0%	0.0%	7.7%	1.7%
I&M Group Plc	51.00	▲ 2.0%	▲ 20.1%	512,480	65.53	88,561.5	2.57%	10.64	3.20	4.8x	0.8x	6.3%	34.4%	16.2%	2.9%
KCB Group Plc	80.25	▲ 4.2%	▲ 22.1%	1,062,307	96.01	257,880.4	7.49%	18.83	4.00	4.3x	0.8x	5.0%	21.4%	19.6%	3.0%
NCBA Group	92.50	▲ 0.3%	▲ 10.1%	241,935	72.99	152,395.6	4.43%	14.05	5.75	6.6x	1.3x	6.2%	43.3%	19.2%	3.5%
Stanbic Holdings Plc	256.50	▲ 0.5%	▲ 29.7%	51,047	187.86	101,400.0	2.95%	33.01	22.70	7.8x	1.4x	8.8%	65.4%	17.6%	2.8%
Standard Chartered Bank Kenya Ltd	362.25	▲ 3.4%	▲ 21.9%	36,618	168.79	136,876.3	3.98%	40.56	37.00	8.9x	2.1x	10.2%	102.3%	24.0%	4.0%
The Co-operative Bank of Kenya Ltd	29.20	▲ 0.7%	▲ 21.9%	2,900,214	27.98	171,321.7	4.98%	4.72	2.50	6.2x	1.0x	8.6%	57.7%	16.9%	3.4%
Industry Median		**▲ 1.0%**	**▲ 21.9%**			**1,475,359.4**	**42.85%**			**6.2x**	**1.0x**	**5.9%**	**43.3%**	**17.6%**	**3.0%**
COMMERCIAL AND SERVICES															
Eveready East Africa Ltd	1.13	▼ (5.0%)	▼ (17.5%)	10,008,607	0.30	237.3	0.01%	(0.28)	-	(4.0x)	3.8x	0.0%	0.0%	0.0%	0.0%
Express Kenya Plc	7.82	▲ 3.2%	▲ 5.7%	28,447	7.74	373.1	0.01%	(2.26)	-	(3.5x)	1.0x	0.0%	0.0%	0.0%	0.0%
Homeboyz Entertainment Plc	4.66	-	-	0	-0.35	294.5	0.01%	(0.71)	-	(6.6x)	(13.2x)	0.0%	0.0%	0.0%	0.0%
Kenya Airways Ltd	5.60	▼ (0.4%)	▲ 58.6%	6,898,057	-22.25	32,614.4	0.95%	0.74	-		(0.3x)	0.0%	0.0%	(4.2%)	3.0%
Longhorn Publishers Plc	3.22	▲ 1.3%	▲ 11.0%	7,964	0.01	877.3	0.03%	(1.38)	-	(2.3x)	291.0x	0.0%	0.0%	0.0%	0.0%
Nairobi Business Ventures Ltd	1.48	▼ (3.9%)	▲ 0.7%	245,804	1.41	2,003.5	0.06%	0.01	-	160.3x	1.1x	0.0%	0.0%	0.7%	0.4%
Nation Media Group Plc	14.30	▲ 1.8%	▲ 23.8%	7,885	2.50	2,965.8	0.09%	(3.00)	-	(4.8x)	5.7x	0.0%	0.0%	0.0%	0.0%
Sameer Africa Plc	19.80	▲ 2.1%	▲ 38.9%	15,496	2.98	5,511.2	0.16%	0.93	-	21.3x	6.6x	0.0%	0.0%	31.2%	16.3%
Standard Group Plc	6.22	▼ (1.9%)	▲ 3.0%	1,407	-28.82	508.4	0.01%	(10.15)	-	(0.6x)	(0.2x)	0.0%	0.0%	0.0%	0.0%
TPS Eastern Africa (Serena) Ltd	16.55	▼ (3.8%)	▲ 12.6%	2,297	62.15	3,015.0	0.09%	4.54	0.35	3.6x	0.3x	2.1%	7.7%	7.3%	4.2%
Uchumi Supermarket Plc	2.93	▲ 9.7%	▲ 184.5%	2,394,342	-11.73	1,069.3	0.03%	(5.56)	-	(0.5x)	(0.2x)	0.0%	0.0%	0.0%	0.0%
WPP Scangroup Plc	2.48	▲ 0.4%	▼ (2.7%)	74,243	10.89	1,071.7	0.03%	(1.17)	-	(2.1x)	0.2x	0.0%	0.0%	0.0%	0.0%
Industry Median		**▲ 0.2%**	**▲ 8.4%**			**17,927.0**	**0.52%**			**(2.2x)**	**1.0x**	**0.0%**	**0.0%**	**0.0%**	**0.0%**
CONSTRUCTION & ALLIED															
Bamburi Cement Ltd	54.00	-	-	0	69.50	19,599.8	0.57%	(1.97)	23.72	(27.4x)	0.8x	43.9%	(850.2%)	0.0%	0.0%
Crown Paints Kenya Plc	60.75	▼ (2.8%)	▲ 11.5%	8,177	25.41	8,648.5	0.25%	1.34	-	45.3x	2.4x	0.0%	0.0%	5.3%	2.1%
E.A Cables Ltd	1.71	-	-	0	0.34	432.8	0.01%	0.37	-	4.6x	5.1x	0.0%	0.0%	110.1%	1.9%
E.A Portland Cement Co. Ltd	82.25	▼ (2.1%)	▲ 11.9%	3,017	226.97	7,402.5	0.22%	20.26	-	4.1x	0.4x	0.0%	0.0%	8.9%	5.2%
Industry Median		**▼ (1.0%)**	**▲ 5.7%**			**36,083.6**	**1.05%**			**4.3x**	**1.6x**	**0.0%**	**0.0%**	**7.1%**	**2.0%**
ENERGY & PETROLEUM															
KenGen Co. Plc	9.64	▼ (0.2%)	▲ 5.0%	1,434,376	42.89	63,571.2	1.85%	1.43	0.90	6.7x	0.2x	9.3%	56.6%	3.3%	1.9%
Kenya Power & Lighting Co Plc	18.50	▲ 0.5%	▲ 36.0%	1,165,595	60.56	36,102.1	1.05%	5.33	1.10	3.5x	0.3x	5.9%	7.1%	8.8%	2.6%
TotalEnergies Marketing Kenya Plc	42.85	▲ 0.9%	▲ 11.2%	31,840	51.78	26,975.9	0.78%	4.74	1.92	9.0x	0.8x	4.5%	42.9%	9.2%	4.9%
Umeme Ltd	8.84	▼ (1.3%)	▲ 13.0%	83,794	1.56	14,355.1	0.42%	(11.58)	7.96	(0.8x)	5.7x	90.0%	(68.8%)	0.0%	0.0%
Industry Median		**▲ 0.2%**	**▲ 12.1%**			**141,004.3**	**4.10%**			**5.1x**	**0.6x**	**7.6%**	**25.0%**	**6.1%**	**2.2%**
INSURANCE															
Britam Holdings Plc	12.95	▲ 2.8%	▲ 42.3%	143,258	12.27	32,679.2	0.95%	1.86	-	7.0x	1.1x	0.0%	0.0%	15.2%	2.1%
CIC Insurance Group Ltd	5.36	▲ 3.1%	▲ 17.3%	965,297	4.64	14,019.3	0.41%	1.22	0.13	4.4x	1.2x	2.4%	12.5%	26.3%	4.5%
Jubilee Holdings Ltd	374.50	▲ 0.3%	▲ 11.8%	835	743.02	27,141.1	0.79%	72.14	13.50	5.2x	0.5x	3.6%	20.8%	9.7%	2.3%
Kenya Re- Insurance Corporation Ltd	3.91	▼ (1.0%)	▲ 29.9%	4,456,918	9.27	21,894.4	0.64%	0.81	0.15	4.8x	0.4x	3.8%	19.0%	8.7%	6.6%
Liberty Kenya Holdings Ltd	10.00	▼ (2.4%)	▼ (1.0%)	277,083	2.90	5,357.1	0.16%	1.86	-	5.4x	3.4x	0.0%	0.0%	64.1%	23.6%
Sanlam Kenya Plc	10.55	▲ 2.4%	▲ 24.7%	33,127	5.98	6,794.2	0.20%	9.95	-	1.1x	1.8x	0.0%	0.0%	166.3%	15.5%
Industry Median		**▲ 1.4%**				**107,885.2**	**3.13%**			**5.0x**	**1.1x**	**1.2%**	**6.3%**	**20.7%**	**5.6%**
INVESTMENT															
Centum Investment Co Plc	15.00	▲ 1.0%	▲ 8.3%	262,399	64.49	9,983.3	0.29%	2.09	0.32	7.2x	0.2x	2.1%	15.6%	3.2%	1.6%
Home Afrika Ltd	1.60	▲ 6.7%	▲ 19.4%	1,851,695	-4.41	648.4	0.02%	0.17	-	9.4x	(0.4x)	0.0%	0.0%	(3.9%)	1.9%
Kurwitu Ventures Ltd	1,500.00	-	-	1	502.63	153.4	0.00%	(35.95)	-	(41.7x)	3.0x	0.0%	0.0%	0.0%	0.0%
Olympia Capital Holdings Ltd	7.78	▼ (4.9%)	▼ (5.4%)	45,842	30.87	311.2	0.01%	0.26	-	29.8x	0.3x	0.0%	0.0%	0.8%	0.5%
Trans-Century Plc	1.12	-	-	0	-38.80	420.2	0.01%	(6.10)	-	(0.2x)	(0.0x)	0.0%	0.0%	0.0%	0.0%
Industry Median		**-**	**-**			**11,516.5**	**0.33%**			**7.2x**	**0.2x**	**0.0%**	**0.0%**	**0.0%**	**0.5%**
INVESTMENT SERVICES															
Nairobi Securities Exchange Plc	22.45	▲ 3.7%	▲ 10.9%	574,992	4.01	5,845.8	0.17%	0.45	0.32	49.9x	5.6x	1.4%	71.1%	11.2%	5.1%
MANUFACTURING & ALLIED															
B.O.C Kenya Plc	132.25	▼ (0.2%)	▲ 4.1%	1,350	109.00	2,582.2	0.08%	10.84	2.50	12.2x	1.2x	1.9%	23.1%	9.9%	8.6%

Upcoming Corporate Actions

Company	Interim/Special Dividend	Final Dividend	Book Closure	Dividend Payment
BAT Kenya		KES 60.00	8-May-26	12-June-26
EABL		KES 4.00	23-Feb-26	30-April-26
KPLC	KES 0.30		23-Feb-26	27-Mar-26
Safaricom PLC	KES 0.85		25-Feb-26	31-Mar-26
Stanbic Group Holdings PLC		KES 18.55	15-May-26	TBC

Source: NSE, AIB-AXYS Africa Research

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